

		Sanctions are warranted against Plaintiffs and Counsel of Record, joint and severally, in the amount of \$839. While Attorney Dias declares, "Any delay in scheduling was therefore the result of confirming Plaintiff's availability and the transition of handling counsel—not any refusal to participate in discovery"—this excuse is simply not adequate. Plaintiffs have caused delay in this case and caused more law and motion work by all involved, including the Court. <i>Defendant to provide notice.</i>
107	Jarvis Restoration vs. State Farm Fire and Casualty Company, 25-01455700	Defendant, State Farm General Insurance Company ("State Farm"), moves to strike the claim for punitive damages at paragraphs 52, 58, 59, 60, and in the Prayer at paragraph 5 of Plaintiff, Jarvis Restoration's Second Amended Complaint. State Farm asserts that the factual allegations in the First Amended Complaint and Second Amended Complaint ("SAC") are the same, and that Plaintiff added 11 new paragraphs, paragraphs 50-60, which consist of conclusory allegations, and allegations on information and belief that it "believes" State Farm is malicious, oppressive and/or fraudulent, but that Plaintiff does not allege actual facts, and that Plaintiff's belief, unsupported by facts, is not sufficient to allege a claim for punitive damages which requires factual allegations. State Farm also asserts that Plaintiff still does not identify any officer, director or managing agent who "authorized or ratified the wrongful conduct for which the damages are awarded or was personally guilty of oppression, fraud, or malice" in the SAC, and that because there are no facts on which Plaintiff could truthfully or in good faith plead that would entitle Plaintiff to punitive damages, this motion should be granted with prejudice. Plaintiff, Jarvis Restoration ("Plaintiff" or "Jarvis") contends that the SAC adds targeted, specific factual allegations that describe a coordinated, company-wide practice of denying all Assignment of Benefits ("AOB") based appraisal demands, approved and directed at the officer and management level, undertaken with actual knowledge that such denials were unlawful, and motivated by a deliberate financial strategy to sidestep appraisal obligations on claims State Farm had underpaid. Plaintiff asserts that these added allegations address the deficiencies identified in the First Amended Complaint, that the allegations on information and belief are grounded in the facts alleged in the SAC, and that the motion should be denied as the SAC pleads specific facts establishing malice and oppression. Here, Plaintiff alleges that State Farm's denial of the Appraisal Demand submission on the grounds that the partial AOBs were invalid, in contravention to California Insurance Code section 520 and California case law providing that an

		insurer must honor an insured's benefit assignment following a loss, regardless of an anti-assignment clause in the policy was intentional and willful as State Farm knew that such denials would complicate matters for the insured and significantly delay the appraisal demand process, and would allow State Farm to evade the appraisal process and sidestep additional financial obligations of honoring an Appraisal Award on claims that State Farm had materially and deliberately underpaid to the detriment of the homeowners and Plaintiff. (SAC, ¶¶ 12-17, 48.) The SAC also alleges that from December 28, 2023, through April 18, 2024, State Farm denied or refused to honor 23 separate valid Appraisal Demands submitted by Jarvis pursuant to irrevocable AOBs executed by its insureds; that upon information and belief, State Farm engaged in a coordinated, company-wide practice or policy of rejected appraisal demands whenever presented under an AOB; that upon information and belief, State Farm management, officers, or directors instituted, directed, authorized or ratified this practice, communicated this practice to adjusters and staff, and encouraged or required adjusters to deny AOB-based appraisal demands regardless of merit or entitlement; and that State Farm knew that its blanket denials were unlawful, contradictory to established law, and that such denials would deprive assignees and insureds of the statutorily and contractually available appraisal remedy, yet State Farm systematically denied the demands to avoid payment of valid claims and appraisal awards. (SAC, ¶¶ 49-52.) It is additionally alleged that upon information and belief, State Farm's repeated denials were not legitimate coverage defenses in good faith but were motivated by an improper financial interest and by the desire to impose delay, expenses, and litigation costs on assignees and insureds to coerce inferior settlements or no payment; that State Farm's wrongful denials were part of a continuing pattern and practice affecting multiple insureds and contractors, demonstrating a deliberate course of conduct; and that State Farm took affirmative steps to conceal, obscure, or minimize the legal significance of the AOBs by issuing form denial communications that mischaracterized the legal effect of an insured's post-loss assignment, failing to identify or cite any bona fide legal authority supporting the denials, and failing to disclose internal directives or rationale given to claim handlers that guided the wrongful practice. (SAC, ¶¶ 53-55.) The SAC further alleges that the employee/adjusters at State Farm that denied these appraisals had authorization to do so from management, directors, and officers of State Farm, and that State Farm's system of repeated denials, approved and coordinated by directors, officers, and management, and communicated and directed to adjusters on the 23 claims at issue, shows despicable conduct. (SAC, ¶¶ 57, 60.)
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		Based on the foregoing, the SAC alleges facts showing despicable conduct that was carried on by State Farm with a willful and conscious disregard of Plaintiff's rights under the partial AOBs, and of the insureds, sufficient to establish malice or oppression to support a claim for punitive damages against a corporation. The allegations made on "information and belief" are supported by factual allegations, i.e., State Farm's denial or refusal to honor 23 separate valid Appraisal Demands, leading Plaintiff believe the allegations to be true. Additionally, State Farm cites to no authority requiring that a pleading identify an officer, director, or managing officer by name. The added allegations in the SAC sufficiently allege authorization and/or ratification by State Farm on the part of officers and/or directors and/or managing agents based on a coordinated, company-wide practice or policy of rejected appraisal demands whenever presented under an AOB. State Farm's motion to strike is DENIED. State Farm to file and serve an Answer within 10 days. The Case Management Conference is continued to September 3, 2026 at 1:30 p.m. <i>Plaintiff to give notice.</i>
108	Castillo vs. Aesthetic Management Partners, 25-01521920	<i>Off-Calendar.</i>
109	Cervantes vs. Verdin, 24-01418094	Plaintiffs Juan Cervantes, Glendi Felix, Lucio Perez Lara, Martin Ramirez, Guadalupe Ramirez, Hector Mendez Rama, Alberto Ivan Mendez Rama, Ever Antonio Franco Zelaya, Sandy Yanet Avalos Ríos, Filiberto Lopez, Raul Mojica, Salvador Nava Ceja, Oscar Campos, Deiby Noe Medrano Franco, Delvina Franco Zelaya, Rosa Franco, Carlos Daniel Franco Zelaya, Ana Griselda Franco, Priscilla Mejia, Melquiades Gregorio, Victor Sanchez, Joel Mojica, David Kenduck, and Jacob Vernezobre ("Plaintiffs") move for summary judgment against defendant Jonathan Verdin d/b/a Achilles Investments LLC ("Defendant") on their causes of action for fraud/intentional misrepresentation and breach of written contract. On January 15, 2026, plaintiff Juan Cervantes's Motion to Deem Facts Admitted was GRANTED and his Requests for Admission, Set One, to Defendant were deemed admitted. The admissions establish that Defendant entered into written contracts with Plaintiffs and promised multiple returns on their investments, Defendant received money pursuant to